

The complaint

Mr G's complained that Admiral Insurance (Gibraltar) Limited ("Admiral") won't settle his claim for as much as he thinks it's worth.

What happened

In autumn 2019, a pipe burst in Mr G's bathroom, letting water escape into the bathroom and the kitchen below. Mr G contacted Admiral to make a claim under his home insurance policy. He reported the damage was extensive in both rooms.

Mr G wanted to use his own tradesmen to deal with repairs. So Admiral asked him to get quotes and forward them so Admiral could consider them.

Mr G obtained quotes and forwarded them to Admiral via the loss adjuster. Admiral thought they were high – they were around £22,000 – and so sent their own surveyor out to scope the work. The surveyor identified only a small amount of damage was attributable to the leak. He said the remainder the work Mr G's tradesman had quoted for was to replace items that had deteriorated over time due to wear and tear – so weren't covered under the policy.

Admiral calculated the cost of the works attributable to the escape of water to be £1,800, The policy excess is £600. So they said they'd pay Mr G £1,200 to settle his claim.

Mr G refused the settlement and complained to Admiral about how the loss adjuster had dealt with him and about the amount offered to settle the claim. Admiral investigated and upheld Mr G's complaint that the loss adjuster had delayed in reviewing the quotes they'd been sent. They paid Mr G £50 compensation for that. And they paid him a further £25 compensation for delay in investigating his complaint.

But Admiral didn't uphold Mr G's other concerns about the loss adjuster. And they said that the cost of all work covered by the policy came within the settlement figure. And any extra works were betterment and not caused by the escape of water.

Mr G didn't accept the outcome of Admiral's investigation and brought his complaint to us. Our investigator considered the matter and concluded that Admiral didn't have to do anything more to resolve the complaint.

He explained that home insurance policies aim to put the policyholder back in the position they were in before damage occurred. He was satisfied that Admiral had offered to do this, as they'd offered a settlement to cover repairing the damage caused by the escape of water. And he'd considered their surveyor's report which explained why they didn't think everything on Mr G's quotes was damage.

Mr G didn't accept the investigator's view. So I've been asked to make a decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and

reasonable in the circumstances of this complaint.

Having done that, I'm not upholding Mr G's complaint. I'll explain why.

Insurers have to deal with claims fairly and in line with the policy terms. And, as our investigator explained, they aim to put the policyholder back into the position they were in before the claim arose. That means they'll cover the cost of repairing or replacing what's been damaged. But they won't pay for other items which only improve a property.

The key issue here is the extent of the damage caused by the escape of water. Mr G says extensive repairs are needed to the kitchen, bathroom and adjoining areas. Admiral say only a small amount of remedial work is needed and that the other items included in Mr G's quotes are the result of wear and tear over the years.

I'm not an expert. That means I can't decide what repairs are needed as a result of the escape of water. So I've thought about whether Admiral's decision about what was water damage was reasonable - and was supported by the available evidence.

I've seen that Admiral were prompted to review in more detail what was damaged by the escape of water by the high quotes Mr G supplied. I think that was reasonable, given the potential value of the claim.

Admiral sent a surveyor to look at what was being claimed for and advise if the work was the result of the escape of water, or something else. I've seen what the surveyor sent them. It details the various items included in Mr G's quote and the surveyor's view on why those items need repairing or replacing. I'm satisfied from what I've read that Admiral received a detailed report on which to base their decision – and that it was reasonable for them to rely on that.

And I'm satisfied that Admiral reviewed their position when they received new information. Mr G sent our investigator several videos, showing his concerns. Our investigator passed these onto Admiral and asked them for comments. And, when I was passed the complaint, I asked Admiral to clarify one point I didn't think they'd dealt with. Admiral confirmed their position that the additional works were caused by other factors, not the escape of water. So I'm satisfied they've considered whether the further information should change the amount of the settlement.

I understand why Mr G's unhappy with the amount of the settlement Admiral have offered because he feels more remedial work is necessary. I'm sorry about that. But I'm satisfied that Admiral have come to a reasonable conclusion about what damage was caused by the escape of water. And the settlement doesn't have to cover any more than that.

I've seen costings for that work. And I can see that Admiral have, in fact, offered more than was costed to allow for extra painting and rubbish costs. So I think what they've offered is reasonable.

I understand Mr G hasn't so far accepted the settlement. If he now wants to accept it, I expect Admiral to pay what they've offered him. But I don't think they need to do any more to resolve Mr G's complaint.

My final decision

For the reasons I've explained, I'm not upholding Mr G's complaint about Admiral Insurance (Gibraltar) Limited.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr G to accept or reject my decision before 6 January 2022.

Helen Stacey
Ombudsman